

BE451 Degree Project in Finance - Thesis Synopsis, Fall 2026

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Below we present two potential thesis topics that we explored independently. Among the topics suggested by the tutors we find **Thesis topic 1: The Impact of the Swedish fund selection agency (Fondtorgsnämnden) on the Mutual Fund market** most interesting.

Thesis topic 1: The Impact of the Swedish fund selection agency (Fondtorgsnämnden) on the Mutual Fund market.

Tentative research question: *How has the procurement of the premium pension platform affected fund supply, fees and the investor flows in Sweden, and has the effect spread to the funds outside the PPM.*

Fondtorgsnämnden was created in 2022 in order to make the premium pension fund platform (PPM) more transparent and efficient. Previously, all approved funds could be listed on the platform, but now funds are selected via public procurements, one category at a time, where only a few funds win each category. The other funds are then removed and the investors'/savers' money is moved to a selected fund if they don't choose one themselves. Between 2024 and 2026 this was done for global, European and Nordic equity funds shifting hundreds of billions of SEK in pension capital. This thesis would show how the reform affected the Swedish mutual fund market focusing on fees, supply and investor behavior.

The question is important since it tests whether the competition between funds delivers lower fees on its own or whether an agency that selects funds on fees and quality can do better. We intend to test three different things, (i) firstly we check whether fees fall for selected funds and whether the same funds also lower fees for investors outside the platform, (ii) secondly whether the removed funds, shrunk, closed or merged i.e. what happens to the supply of funds and (iii) whether savers actively choose a new fund or are moved by default and whether the funds perform worse after receiving larger inflows. Here a zero result is also interesting as it would imply that the reform only affects the PPM without materially changing the broader Swedish mutual fund market.

Data & Method:

We use Morningstar (via Swedish House of Finance) to get monthly fees, assets, flows and returns for all funds sold in Sweden between 2018-2026. Moreover we want to use public sources (i) firstly Pensionsmyndigheten to get monthly assets, net trading per fund on the platform, removal dates fees after rebate, and the share of savers making an active choice and (ii) secondly we want to use data from Fondtorgsnämnden to get the award decisions with bidders, winners, capital and dates.

We want to build panel data of funds by month. Since categories are procured and we compare funds in procured categories before and after the award, with the funds in categories that have not yet been procured. Outcomes will be fees on and of the platform, the number of funds per category, flows and how strongly past performance affects the selected funds' risk adjusted returns after the award. We check that the treated funds and control funds reacted similarly before the award.

Short literature review

Berk and Green (2004) developed an allocation based model that explained that funds with a good past performance attract more capital, but as their AUM grows finding good investment opportunities becomes harder. Therefore past performance is not a reliable indicator of future performance.

Leippold and Rueegg (2020) found from a large international sample of both active and passive mutual funds that active funds do not statistically outperform passive ones when accounting for additional fees and risk. Dahlquist and Martinez (2017) found that Swedish PPM investors that are active can earn higher results than inactive investors, adjusting for risk.

References

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Leippold, M., & Rueegg, R. (2020). How rational and competitive is the market for mutual funds?. *Review of Finance*, 24(3), 579-613.

Dahlquist, M., & Martinez, J., & Söderlind, P. (2017). Individual Investor Activity and Performance. *The Review of Financial Studies*, 30(3), 866-899.

Topic 2: Investment and payouts under a Threatened Profit Cap: Evidence from Swedish Welfare Firms.

Tentative research question: *How did Swedish welfare firms adjust investment and payouts when a proposed profit cap threatened to restrict their future returns?*

In November 2016, SOU2016:78 proposed limiting the operating profits in privately provided, publicly financed welfare services. The permitted operating profit could at maximum be equal to the government borrowing rate plus seven percentage points multiplied by operating capital. The proposal later became a government bill in March 2018 for the following areas, social services, personal assistance and school-regulated activities, but was rejected by Riksdagen on 7 June 2018.

As explored in previous research, uncertainty can make firms postpone investment because waiting has option value as shown by Julio and Yook (2012) and Jens (2017). The proposed profit restriction may also affect payout policies, firms expecting lower future distributable profits may have incentives to distribute its capital before regulation takes effect. We therefore intend to study both investments and payouts during the period in which the regulation was a credible policy threat in the aforementioned types of companies.

Data & Method:

We use Serrano data for Swedish limited companies, including investment, dividends, cash, debt, operating profit, balance-sheet items and group information. Since the proposal would probably not have affected all welfare firms equally we constructed a predicted pre-proposal exposure measure using accounting data before 2016. Firms whose operating profits were substantially above the profit level that would have been permitted under the proposed rule are classified as more exposed.

The main test will use a study comparing firms with high and low pre proposal exposure. We examine whether highly exposed firms changed their investment or dividends and cash holdings more during the policy threat period. We also aim to examine whether these changes weakened after the proposal was rejected. Firm and industry-by-year fixed effects will be used to account for persistent firm differences and common industry shocks and we will also analyse the trends before the event. Since data are annual 2017 is the clearest full year in which the proposal was pending. The rejection year 2018 is treated as a transition year and the later years are used cautiously because new ownership and licensing requirements entered into force in 2019.

Short literature review

Julio and Yook (2012) find that firms reduce investment under political uncertainty around national elections. Jens (2017) moreover provides causal evidence that political uncertainty reduces corporate investment and delays financing decisions. On payouts, Hanlon and Hoopes (2014) show that firms accelerate dividends when a dividend tax increase is expected. Holmberg and Selin (2025) study a Swedish dividend tax increase that was announced but subsequently cancelled. Firms increased dividends before the expected reform and dividends fell after it was abandoned. Their findings consequently motivate our payout hypothesis.

Our contribution will be to study a different type of policy threat, namely a proposed restriction on firms future operating profits which is rather unique. We tend to examine both real investment and payout decisions and exploit differences in how strongly individual firms would have been affected by the proposed cap. To our knowledge existing research has not examined these firm level responses to Sweden's 2016-2018 welfare profit cap proposal. Additionally the question remains highly relevant today. Restrictions on profits in tax-funded welfare, particularly in the school sector, have again become a prominent issue in Sweden's 2026 election campaign. Hence the period 2016-2018 can provide an opportunity to study how firms may respond when similar regulatory threats become credible.

The 2016–2018 episode therefore provides an opportunity to study how firms respond when similar regulatory threats become credible.

References

- Holmberg, J., & Selin, H. (2025), Firm-Level Responses to a Canceled Dividend Tax Increase. IFAU, Working Paper 2025:3.
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